



Local Support, Total Commitment

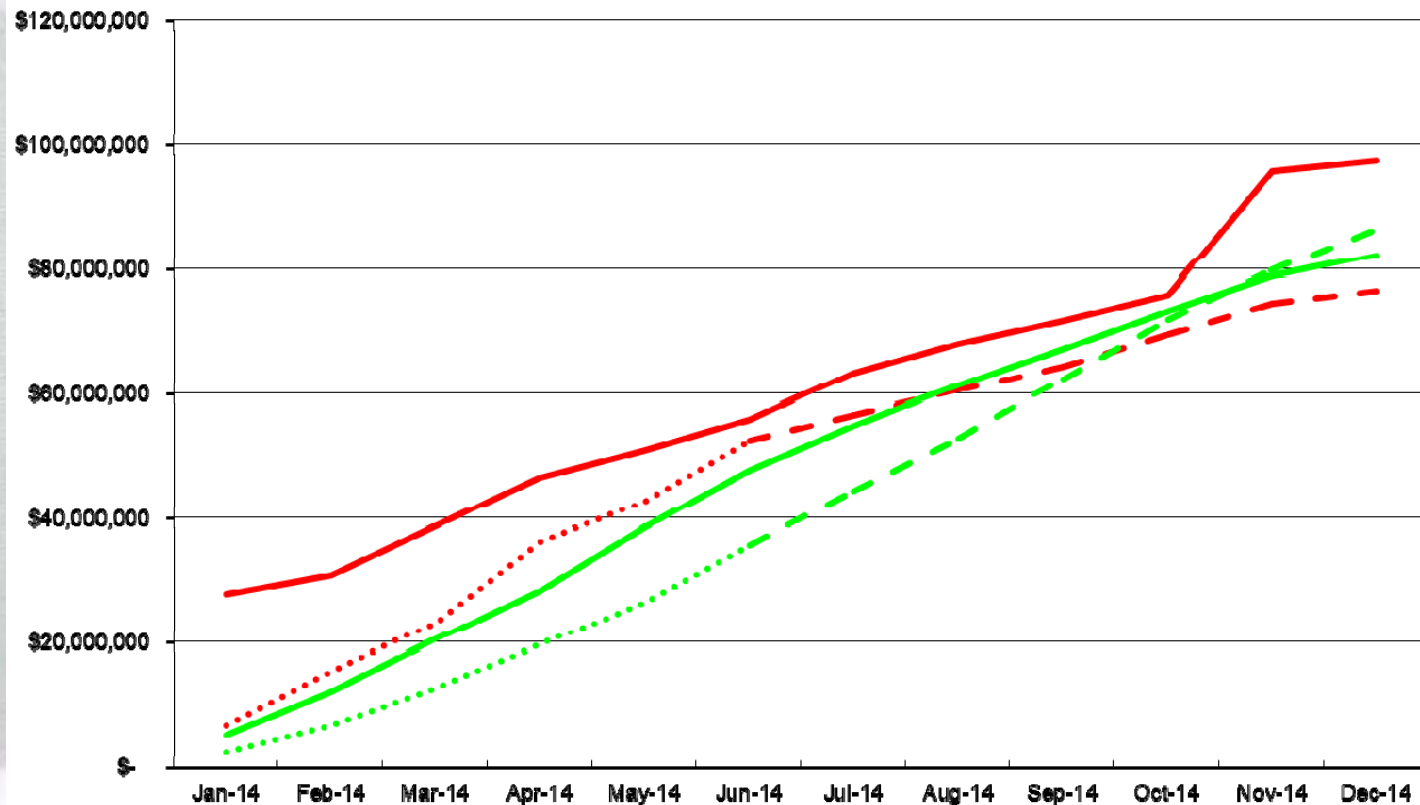
TLD ACE
All Hands Meeting

August 2014

TLD

behind your equipment

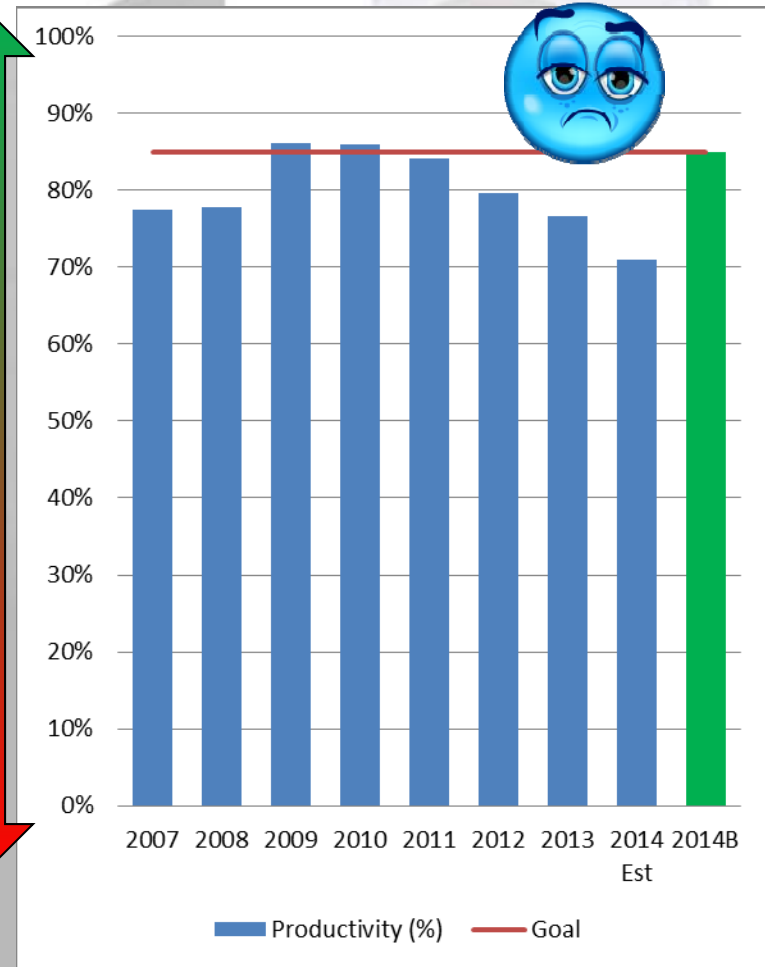
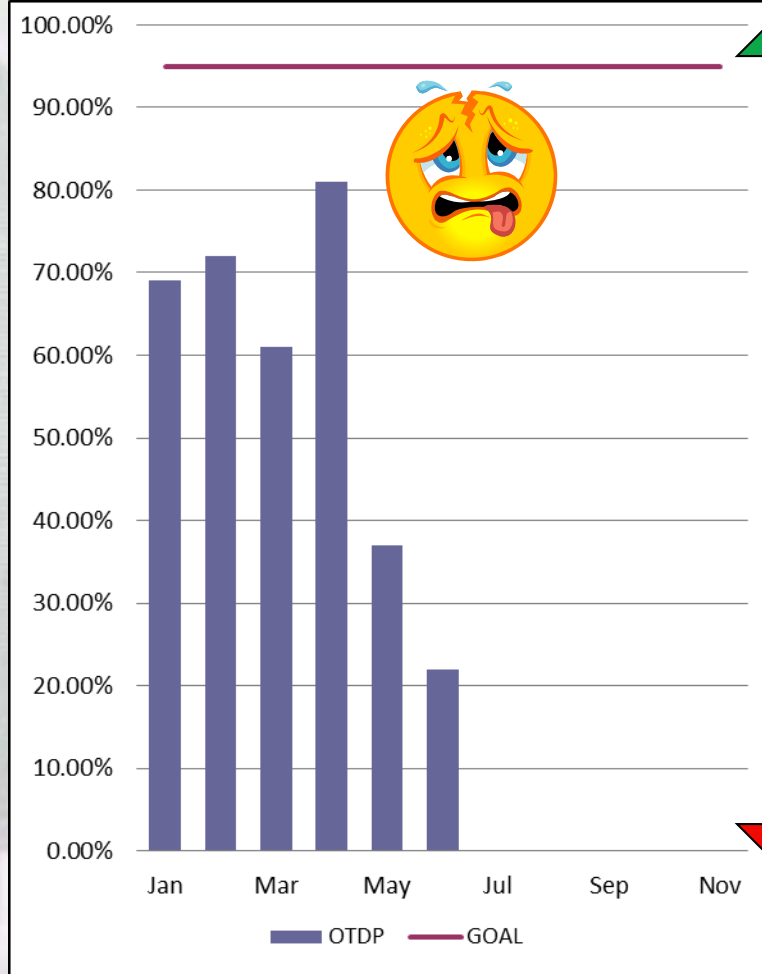
Bookings & Invoicing



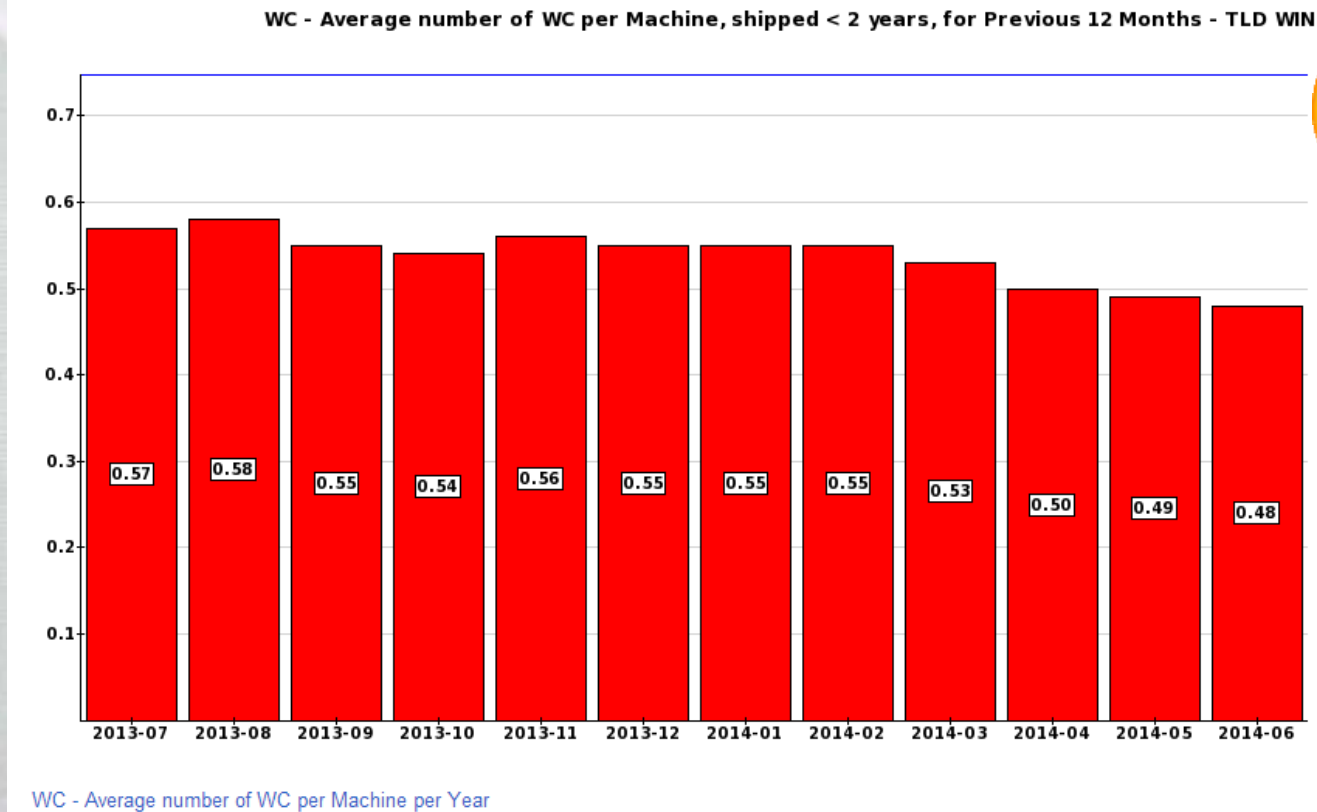
2014 Started Slow, but picking up
Plan is to exceed budget

2014 – Year To Date

People behind your equipment

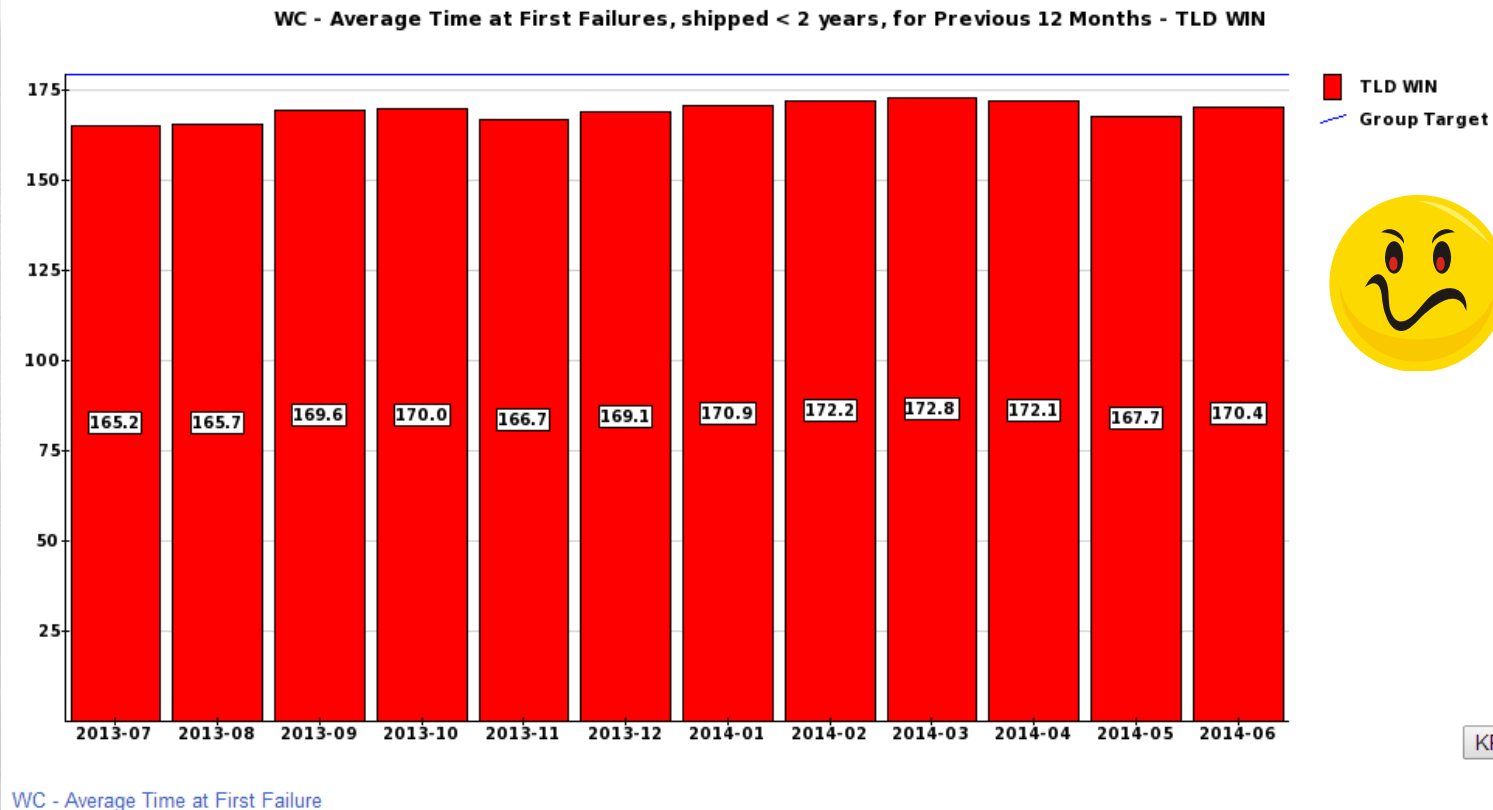


2014 – Year to Date



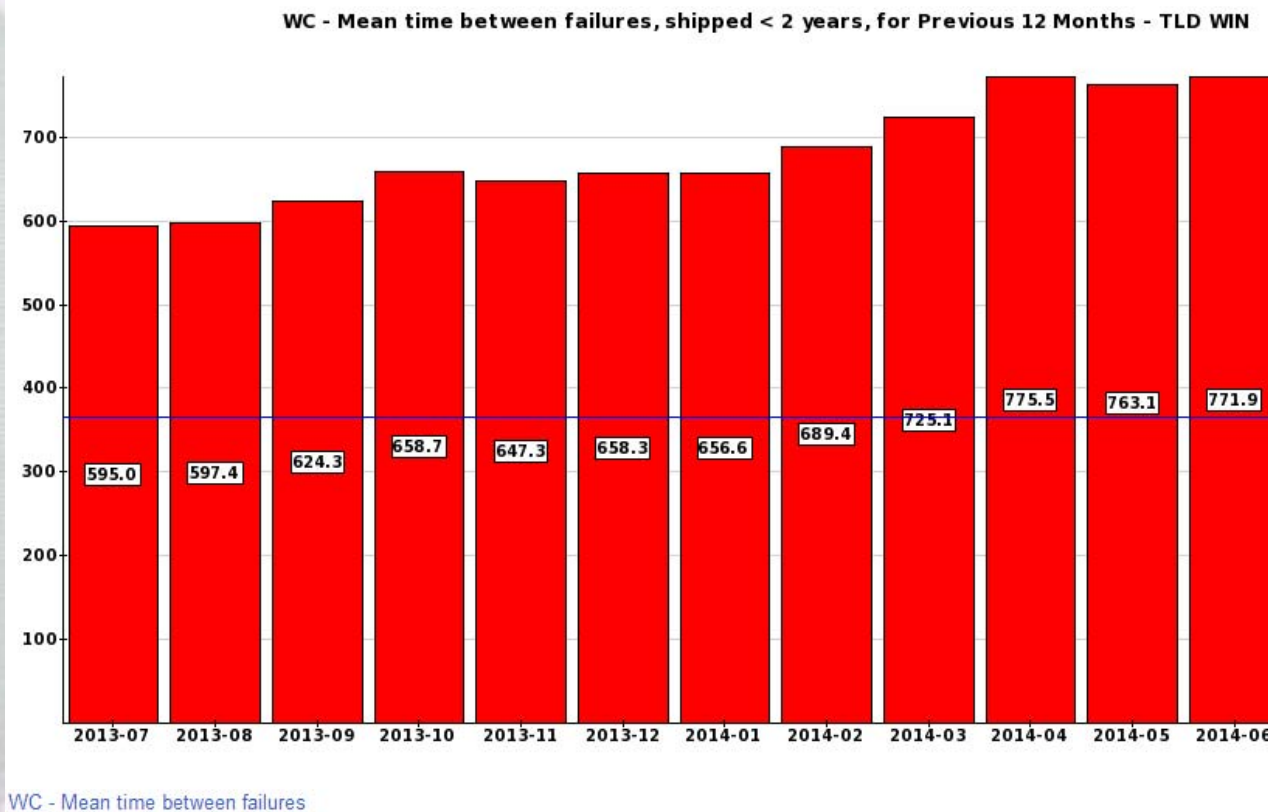
Good Reduction in WC per Machine!
This is our delivered Quality

Warranty Claims Per Unit



No Change in Average Time To First Warranty Claim
We must make our products more reliable

Time to First Warranty Claim



KPI Review

Good Improvement In MTBF
Once fixed – they run well!

Time Between Warranty Claims

- **Sales = 89.7MUSD**

- 756 Units
- About the same as 2013

- **Strong Military Program Activity**

- LCU-025-CUP
- LCU-025-EMP
- CCU-1314-CAP
- ACU-435-CUP
- ACU-435-EMP

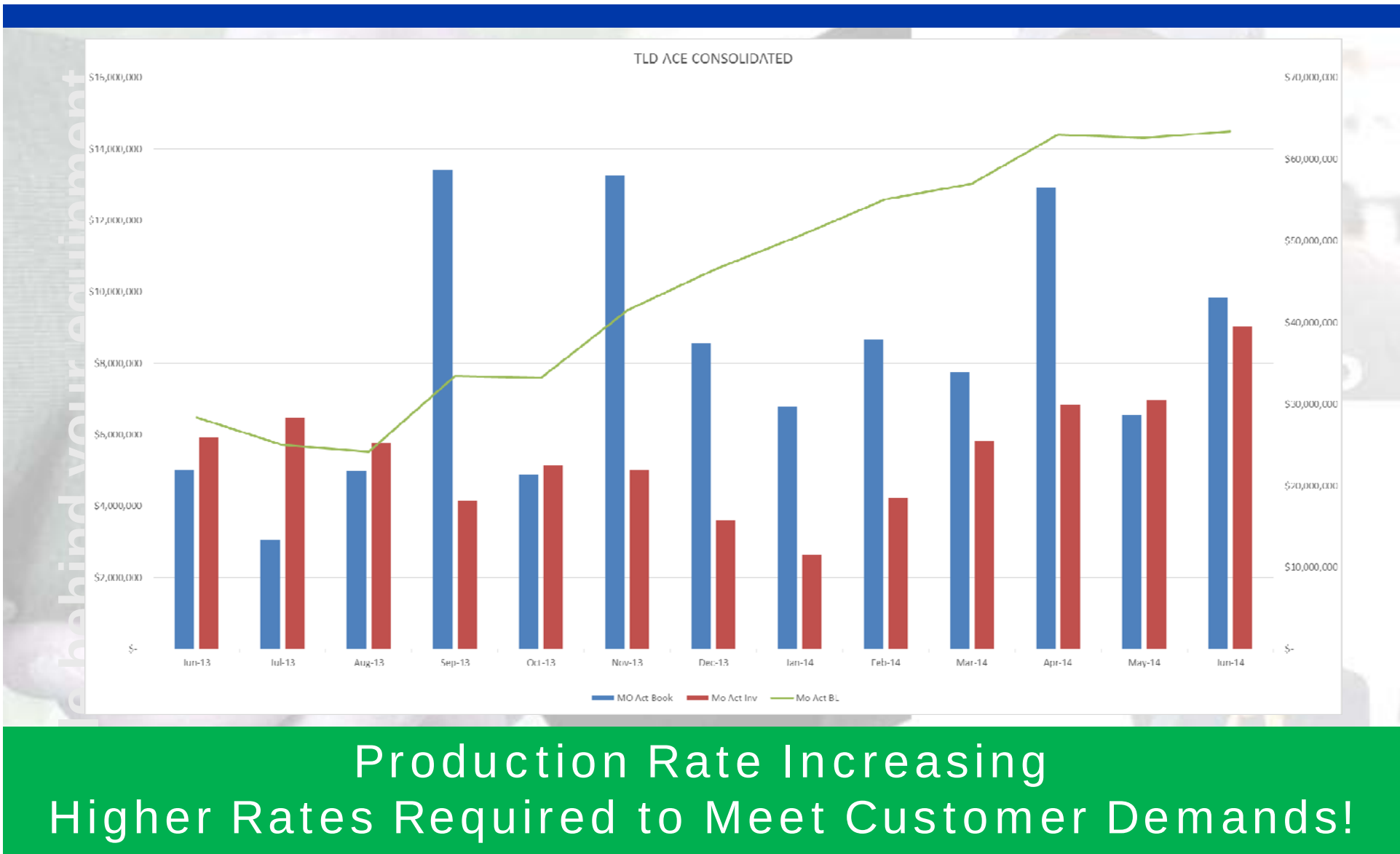
- **Big Opportunities in 2014**

- Ship 50 LCU for 15MUSD!

- **Big Threats in 2014**

- Quality!
- Quality
- Quality
- Quality
- Production Efficiency

2014 Budget Overview



Production Rate Increasing
Higher Rates Required to Meet Customer Demands!

Status of Our Business



- **LCU-025-CUP**
 - 14 Units Sold
 - Starting Next Order!
- **LCU-025-EMP**
 - Starting Production Deliveries
- **ACU-435-CUP**
 - Prototype Done
- **ACU-435-EMP**
 - Prototype in production
- **CCU-1314-CUP**
 - Prototype Starting



Military Work is Important!

People behind your equipment

- LCU-025-CUP
- LCU-025-EMP
- CCU-1314-CAP
- Tier 4 Emissions Changes
- Productivity Improvements



Projects & Programs



TLD STRATEGIC GOALS 2014-2016

- 1. Quality and reliability must come first to the mind of TLD employees and organisations.**
- 2. To install durably TLD as a synonym of superior and consistent customer support, while continuing to raise our level of expectations.**
- 3. To achieve our quality and support goals while delivering an excellent financial performance in term of profitability and cash flow.**

New Strategic Goals



TLD Quality Total Commitment

TLD pride is based on our Quality and Customer Satisfaction

Quality shall remain permanently first
in the mind of all TLD employees.

Quality of TLD service shall be a synonym of diligence,
responsiveness, transparent communication, expertise

and convenience for the customer.

TLD Quality focus

Factory communication plan

Quality means that TLD shall provide its employees the proper
conditions, a friendly environment and the right organization
to execute Quality engineering, products and service.

Quality means that any TLD customer or product issue
shall be rigorously reported, correctly tracked and resolved
until a solution is agreed upon and implemented.

Quality means that TLD fosters an open eye and mouth policy
with all its employees in order to make sure that
any deviation is detected, raised, recorded and fixed.

Quality means that TLD spirit, goals and processes
shall be continuously conveyed and enforced
with TLD suppliers and business partners.

Quality of a TLD product shall be a synonym of
Simplicity, Reliability and Ease of Maintenance.

Quality means that, to support continuous improvement
and control group wide consistency, TLD shall measure
and monitor its performance

LOCAL SUPPORT, TOTAL COMMITMENT

- To enforce its first goal and make sure
- => **Quality and reliability** must come first to the mind of TLD employees and organisations
- => **To clearly set TLD as synonymous of quality**

TLD launches a communication plan called:

TOTAL QUALITY COMMITMENT

Introduction

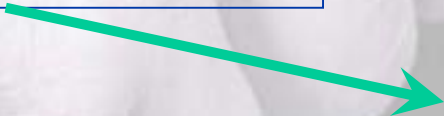
Alike the core values, this poster is addressed to the customers and to all TLD employees.

We need to upgrade our general quality across several aspects, and measure it through indicators, hence, we need the involvement of everybody up to the management.

This chart is extremely important and we want to share the spirit of it with you.

Introduction

This chart is going to be posted in all manager offices and meeting rooms.



TLD Quality Total Commitment	
TLD pride is based on our Quality and Customer Satisfaction	
Quality shall remain permanently first in the mind of all TLD employees, no compromise shall be made with what may affect Quality.	Quality of TLD service shall be a synonym of diligence, responsiveness, transparent communication, expertise and convenience for the customer.
Quality means that rigor and attention to details is the responsibility of each TLD employee.	Quality means that TLD shall systematically learn from customer and field experience.
Quality means that TLD shall provide its employees the proper conditions, a teamwork environment and the right organization to execute Quality engineering, products and service.	Quality means that any TLD customer or product issue shall be rigorously recorded, diligently treated and actions tracked until a solution is agreed upon and implemented.
Quality means that TLD fosters an open eye and mouth policy with all its employees in order to make sure that any deviation is detected, raised, recorded and fixed.	Quality means that TLD spirit, goals and processes shall be continuously conveyed and enforced with TLD suppliers and business partners.
Quality of a TLD product shall be a synonym of Simplicity, Reliability and Ease of Maintenance.	Quality means that, to support continuous improvement and control group wide consistency, TLD shall measure and monitor its performance
LOCAL SUPPORT, TOTAL COMMITMENT	

Introduction

Which one is our first choice?

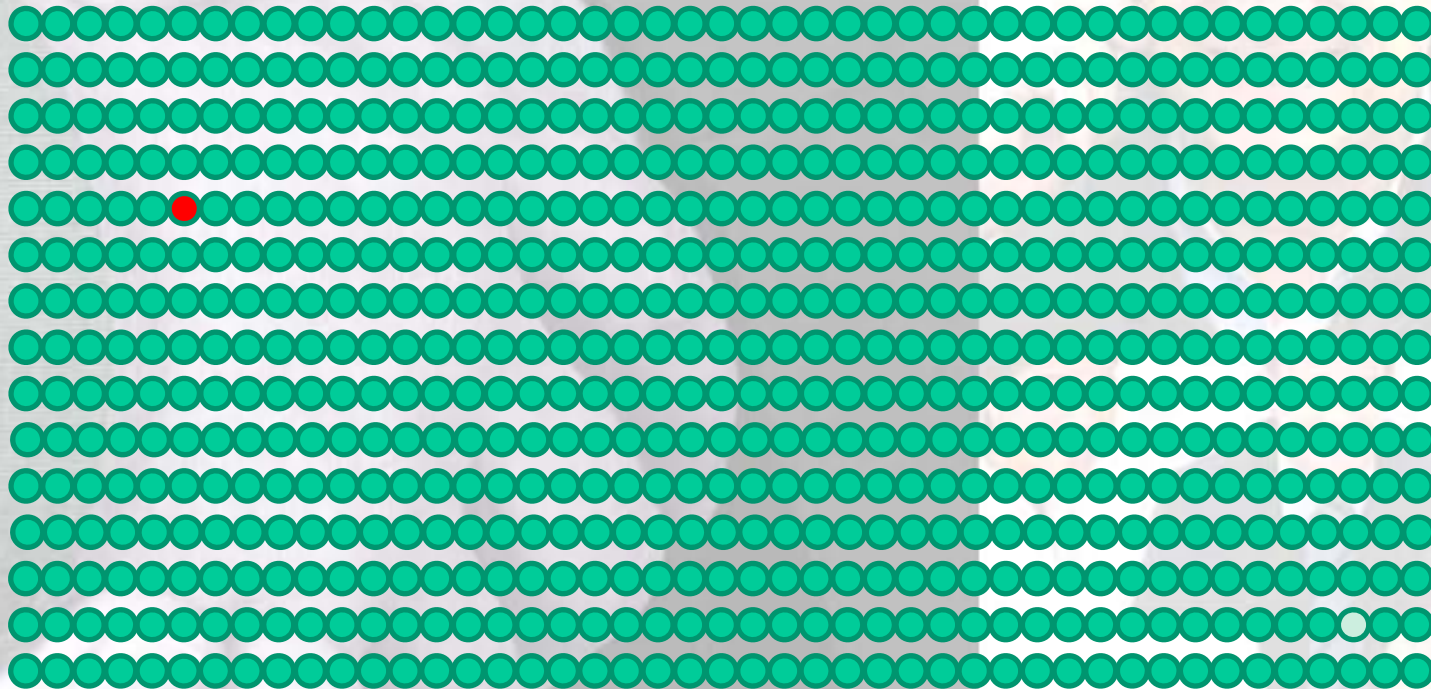
Quality



#1 Quality shall remain permanently **first**
in the mind of all TLD employees,
no **compromise** shall be made with what
may affect Quality

TLD
LOCAL SUPPORT, TOTAL COMMITMENT

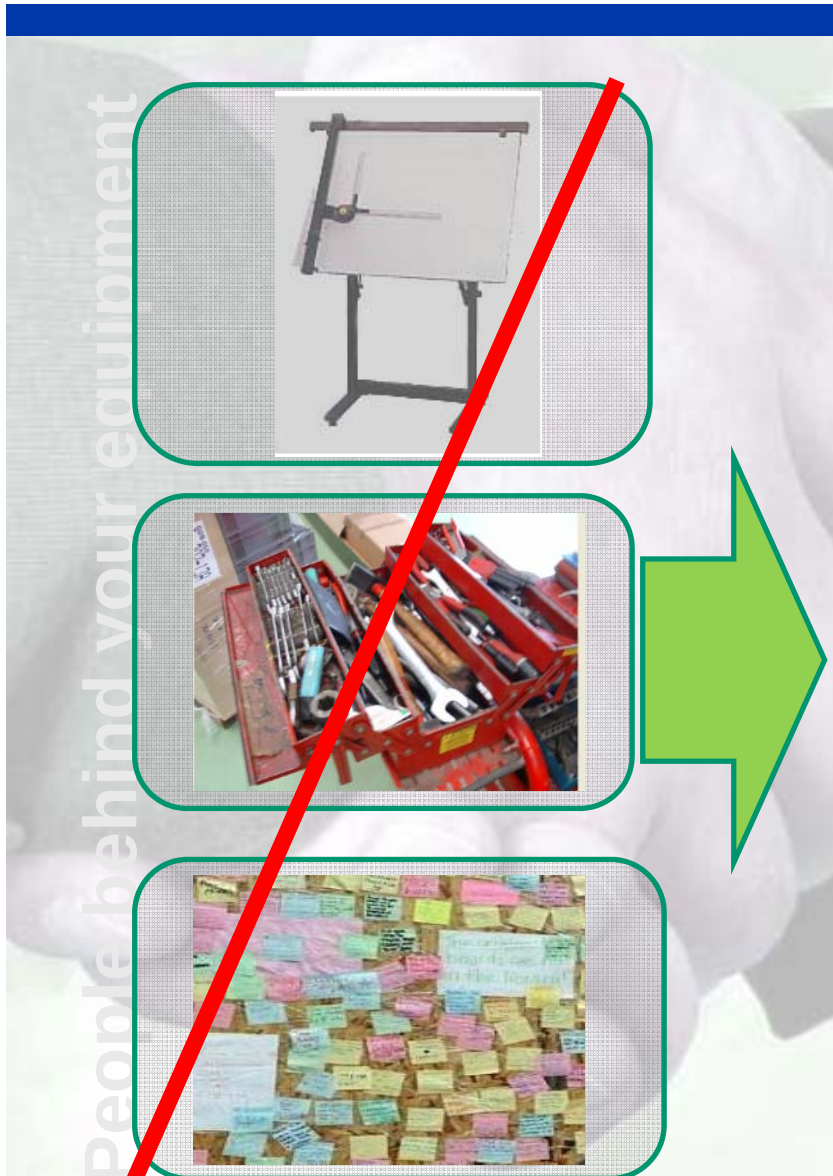
People behind your equipment



Errors are not always so easy to find – we must be vigilant!

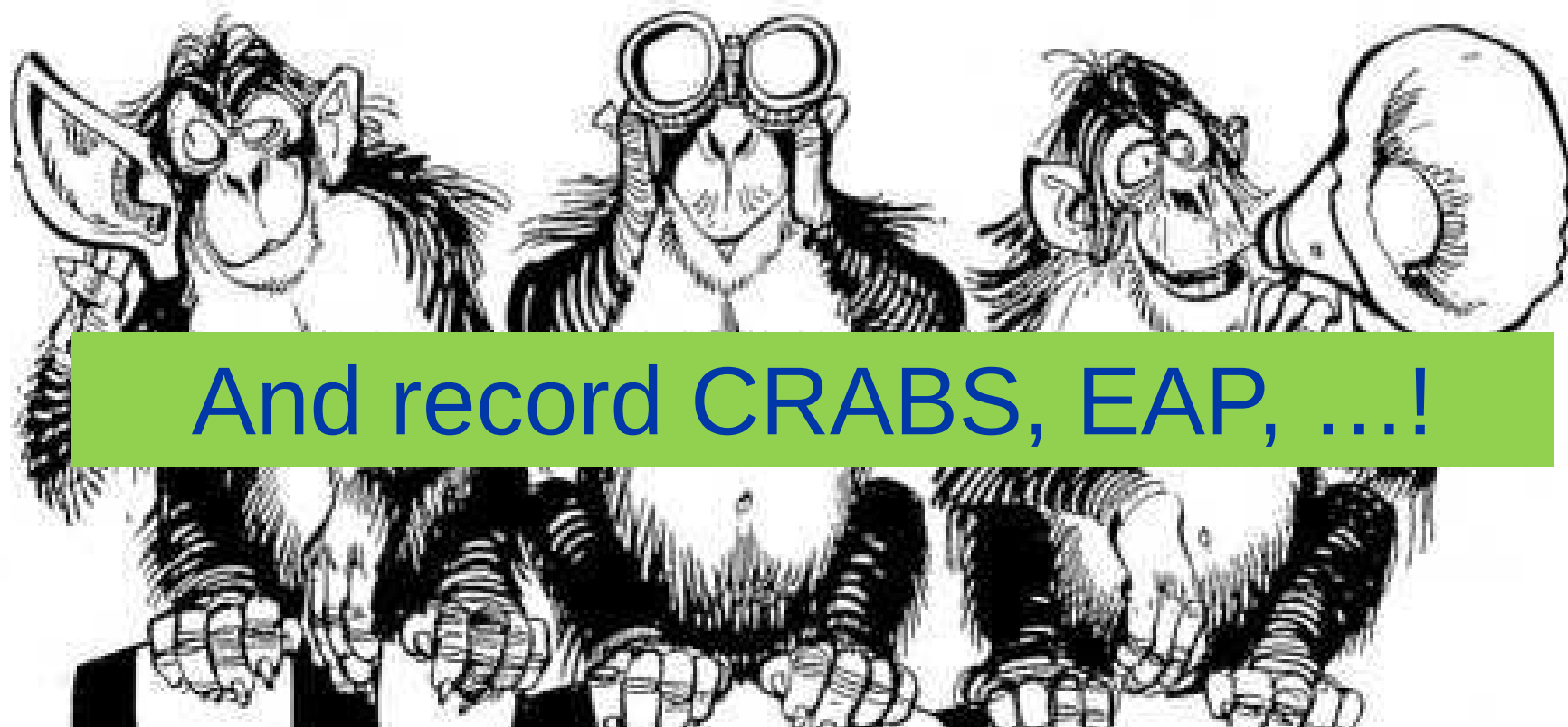
#2 – Quality Means that **Rigor** and **Attention to Details** is the Responsibility of **each** TLD Employee.





3 - Quality means that TLD shall provide its employees the **proper conditions** and set up the **right organization** to execute Quality engineering, products and service

SO LET'S BE....



And record CRABS, EAP, ...!

I Heard That
我听到了

I Saw That
我看到的

I'm Gonna Tell !
我告诉

#4 Quality means that TLD fosters an **open eye** and **mouth policy** with all its employees in order to make sure that any **deviation is detected, raised, recorded and fixed.**

TLD
LOCAL SUPPORT, TOTAL COMMITMENT

People behind your equipment



Don't reinvent the wheel

Simplicity



Make it robust and reliable

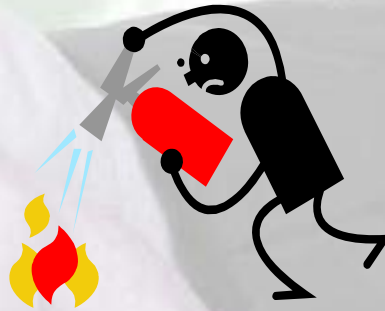
Reliability



Ease of Maintenance

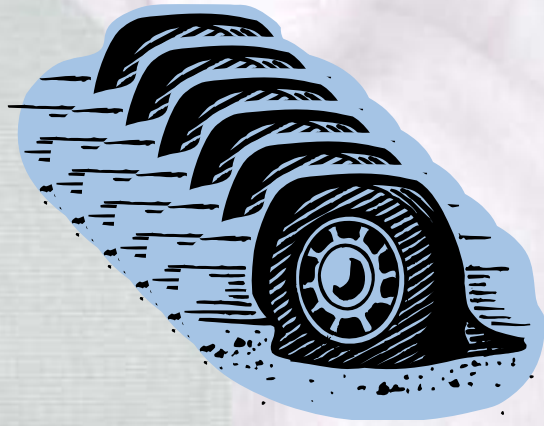
#5 Quality of a TLD product shall be a synonym of **Simplicity, Reliability and Ease of Maintenance.**

TLD
LOCAL SUPPORT, TOTAL COMMITMENT

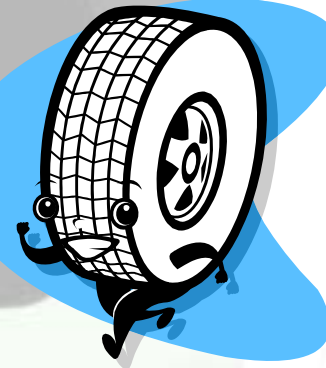


#6 Quality of TLD Service shall be a synonym of **diligence**, **responsiveness**, **transparent communication**, **expertise** and **convenience** for the customer.

People behind your equipment



PDC



#7 – Quality means that TLD shall
systematically learn from customer and field
experience

TLD
LOCAL SUPPORT, TOTAL COMMITMENT



Customer Question



Make A Record



Do Some Research



Formulate a Theory



Finish!



Implement the Fix



Document the Solution



Validate With Qualification

#8 Quality means that any customer or product **issue** shall be **rigorously recorded**, diligently treated and actions tracked **until a solution** is agreed upon and implemented

TLD spirit,
goals
and processes

TLD spirit, goals
and processes

TLD spirit,
goals
and processes

TLD spirit, goals
and processes

TLD spirit,
goals
and processes

TLD spirit, goals
and processes



#9 Quality means that TLD spirit, goal and
processes shall be continuously conveyed and
enforced with TLD suppliers and business partners

TLD
LOCAL SUPPORT, TOTAL COMMITMENT

TLD GROUP

TLD Asia (Region CSEA)

TLD ASI
TLD CHI
TLD GST
TLD SHA
TLD WUX

**TLD QUALITY
PASS**

TLD Europe (Region EMEA)

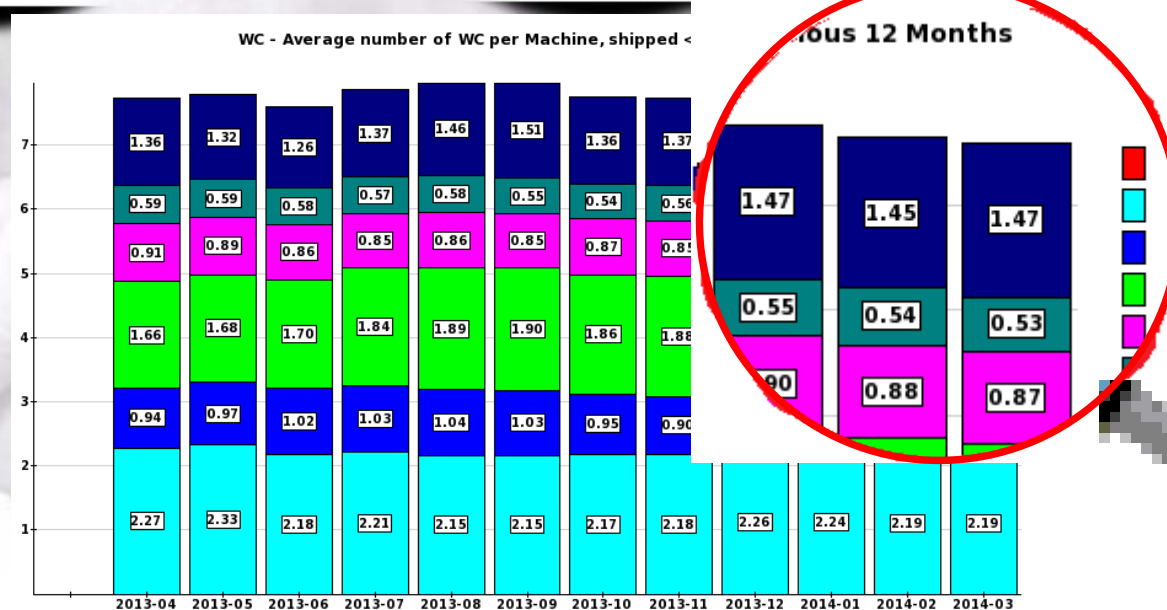
TLD DTV
TLD EUR
TLD MEAI
TLD MTL
TLD STL

**TLD QUALITY
PASS**

TLD U.S.A. (Region NALAAJ)

TLD AME
TLD LAAJ
TLD SHE
TLD WIN

**TLD QUALITY
PASS**



#10 Quality means that, to support continuous improvement and control group wide consistency, TLD shall measure and monitor its performance



LOCAL SUPPORT, TOTAL COMMITMENT

Many actions are in progress within TLD organizations:

Several months ago **Reliability KPIs** were created using the warranty claim data from the internet **Targets** were established by product type These KPI are **currently reviewed** in BU **Steering** committees, in each factory **quality** Meeting, In **engineering** meeting, in **PDC** meeting, in **cost** meeting...

A list of TLD Quality Standard commonly used by all our factories is in development (Corrosion treatment, Wiring & Fittings, Routings, packing and transportation ...)

In progress actions

Many actions are in progress within TLD organizations:

- **Structure our product development process** to more completely insure adequately designed and fully tested products when delivered to the field.
- **Root Cause Analysis:** structured and thorough review of a problem designed to identify and verify what is causing the symptoms.
 - TLD has developed it's own Root Cause Analysis (RCA) tool based on the well known Ishikawa (Fishbone) Diagram and the “Five Whys” technique
 - The TLD tool will be referred to as the **RCA Diagram**
 - The QAM's are in charge of training all TLD employees by year end on the **RCA Diagram** methodology

In progress actions

Many actions are in progress within TLD organizations:

We feel that our P&I and control systems are not enough properly used and are not dynamically maintained

- A completely **new system** is currently being developed
- Control points will be synchronized with routings
- Data input will have to be done **in real time** by integrators
- Integrators will use **tablets** to input data
- No more paper check list.

Quality Circles of 6 to 12 employees will be created.

- Shop floor employees will pick quality problems to solve and present their solutions to management
- This approach promotes engagement of the workforce and helps them share the ownership of quality

In progress actions

- **RONCE –**

- How Much Profit Do We Make on the Shareholders Investment?

- **Profit!**

Sales Price

- *Material Costs*
- *Labor Costs*
- *Overhead*
- = *Profit*

- **Capital!**

Buildings + Vehicles + Cash
+ Inventory
+ WIP = Capital

- **Good News!**

- TLD ACE is currently earning RONCE at a reduced Level!

- **Better News!**

- If we achieve the next few months of production, we'll earn 100% RONCE Again!

- **RONCE**

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- *Buildings + Vehicles + Cash + Inventory + WIP = Capital*

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I expect our team to Work Together and Achieve
RONCE for 2014!

RONCE

- **Quality Must Come First to Each of Us**
- **2014 is a year of Great Opportunity for TLD ACE, we must capture this opportunity!**
- **Business Indicators must improve**
 - Quality, Efficiency, Delivery
- **Military Programs must deliver on time, at profit!**

Every action we take impacts the company and ourselves
– Make your impact Positive –

Summary

People behind your equipment

Quality Support Innovation

Our continuous common goals

